Introduction to Accounting

- Origin: Count \rightarrow Account
- 1494, Luca Pacioli: Known as the Father of Accounting. He was the first writer on modern accounting.
- Double Entry System: Focuses on Debit and Credit. (লেনদেন লিপিবদ্ধ করার সিস্টেম)
- Financial Year (FY): 1st July 2025 – 30th June 2026.
- Transaction: Involves a minimum of two persons.
- Rule: #All events are not transactions, but all transactions are events. Key Abbreviations & Reference Books
- AICPA: American Institute of Certified Public Accountants.
- FASB: Financial Accounting Standard Board.
- SEC: Security and Exchange Commission.
- DSE: Dhaka Stock Exchange.
- CSE: Chittagong Stock Exchange. Reference Books:
- Basic Accounting – S.A. Hasib & S.E. Kabir
- Accounting Principles – Weygand, Kieso, and Kimmel Definitions of Accounting

> "Accounting is the art of recording, classifying and summarizing in a significant manner and in terms of money, transactions and events which are in part at least of a financial character and interpreting results thereof." — AICPA
>
> "Accounting is a process used to measure and report to various users relevant financial information regarding the economic activities of an organization or unit."

Users of Accounting Information

- Owner of the business/firm
- Management Authority
- Government
- Potential Investors
- Tax Authority
- Price Fixation Authority
- Trade Union / Labour Union / Association
- Economic Planner
- Researchers
- In general public Types of Business Ownership
- Sole Tradership Business
- Partnership Business: (2 to 20 partners)
- Joint Stock Company (PLC):
    - Public Limited Company: Profit/loss is shared based on the amount invested.
    - Sleeping Partner: No investment but gets a share of the profit.

Accounting Concepts & Principles

No.	Principle / Concept	Definition & Key Notes
1	**Entity Concept**	The business and the owner are treated as separate legal entities.
2	**Dual Aspect**	Every transaction has two sides: **Debit** and **Credit**.
3	**Going Concern**	ব্যবসায় চলমান রেখে হিসাব করা (Assumption that business will continue).
4	**Historical Cost**	Records transactions at original cost (Economic History).
5	**Periodical Principle**	নির্দিষ্ট সময়ে আয়-ব্যয় (Financial reporting for specific periods).

No.	Principle / Concept	Definition & Key Notes
6	**Matching Principle**	Comparing and matching income against expenses.
7	**Realisation Principle**	আদায়করণ নীতি (Revenue is recognized when earned).
8	**Disclosure Principle**	নির্দিষ্ট সময় পর পর update প্রকাশ করা (Full disclosure).
9	**Materiality Principle**	Focuses on the significance of items / “lasting of products.”
10	**Consistency**	সমরূপতা (Uniformity in methods over different periods).
11	**Conservation**	রক্ষণশীল নীতি (Prudence: Anticipate no profits, provide for all losses).
12	**Legislation / Legal**	Compliance with relevant laws and regulations.

Key Rules & Categorization

- **Accounting Conventions:** Items 10, 11, and 12 (Consistency, Conservation, and Legislation) are specifically grouped as **Conventions**.
- **The Prudence Rule:** In **Conservation**, the lower price (Cost or Market) will be taken, not the market price.
- **Maximum Accounting Time:** 12 months.
- **Depreciation:** Applied to fixed assets (অবচয়).
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Important Notes on Principles:

- Convention: Consistency, Conservation, and Legislation are categorized as Conventions.
- Maximum Accounting Time: 12 months.
- Conservation Rule: Lower price will be taken, not the market price (Lower of Cost or Market).
- Depreciation: Calculated on fixed assets (অবচয়).
- DPS: Deposit Pension Skill Scheme.

1. Classification of Account

There are five primary classifications of accounts:

1. **Asset** (Divided into *Current assets* and *Fixed assets*)
2. **Liability**
3. **Expenditure**
4. **Income**
5. **Capital** → Internal liability

> **Note:** Cash Taka is a **liquid asset**.

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2. Detailed Breakdown of Accounts

A. Assets

- **Current Assets:** Cash, bank balance, accounts debtors/receivable, notes receivable, prepaid expenses, short-term investment, stock goods (মজুদ পণ্য).
  - *On account* = বাকিতে
  - *Closing stock* = যে প্রোডাক্ট বিক্রি হয়নি
  - *Starting stock*

- **Fixed Assets:** Land, gold, furniture, machine, building, long-term investment, **Goodwill** (অদৃশ্যমান সম্পদ).

B. Liability (দায়)

- **Current Liability:** Short term (ধারে, কয়েকদিনের মধ্যে পরিশোধ).
    - Includes: Accounts payable/creditor, note payable, bank overdraft, unpaid expenses, short-term loan.
- **Long-term Liability:** Housing loan, bank loan (কিস্তি), debenture, mortgage loan (বন্ধক).

C. Expenditure

- **Operating Expenses:** Salary, rent, advertisement, utilities (regular expenses).

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3. Rules for Debit and Credit of Accounts

No.	Account Type	Increase	Decrease
1	**Asset**	Debit	Credit
2	**Liability**	Credit	Debit
3	**Expenditure**	Debit	Credit
4	**Income**	Credit	Debit
5	**Capital**	Credit	Debit

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4. Accounting Cycle

The accounting cycle follows a continuous flow (ঘটনা ঘটার সাথে সাথে লিপিবদ্ধ করা):

1. **Journal** (Primary entry)
2. **Ledger** (Permanent storage of an account)
3. **Trial Balance** (Schedule of all ledgers)
4. **Adjustment**
5. **Final Account / Financial Statement** (F/S)
6. **Analysis and Interpretation of F/S**

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Accounting Journal

Q: Describe the states of the accounting cycle.

Scenario: On 1st July 2025, Mr. Hasan invested cash Tk 200,000 as capital. Other transactions are as follows:

- **July 1:** Mr. Hasan invested cash as capital Tk 200,000.
- **July 2:** Opened a bank account with cash Tk 50,000.
- **July 3:** Office rent paid by cheque Tk 10,000.
- **July 4:** Office supplies / stationary purchase in cash Tk 4,000.
- **July 5:** Insurance premium paid in cash Tk 2,000.
- **July 6:** Advertisement expense occurred in the “Daily Star” on account Tk 7,000 (বাকিতে).

- **July 7:** Service provided and billed to client Tk 40,000.
- **July 8:** Advertisement bill paid by cheque (relating to July 6 transaction).
- **July 10:** Cash received from the client (relating to July 7 transaction).
- **July 12:** Owner withdrew cash for personal use Tk 20,000.

Date	Account Title and Explanation	Post Ref	Debit (Taka)	Credit (Taka)
2025 July 1	Cash account		200,000	
	Capital account			200,000
	(Owner invested cash as capital)			
July 2	Bank account		50,000	
	Cash account			50,000
	(Cash deposit into bank)			
July 3	Rent expense		10,000	
	Bank account			10,000
	(Office rent paid by cheque)			
July 4	Supplies/Stationery account		4,000	
	Cash account			4,000
	(Cash paid for supplies)			
July 5	Insurance premium account		2,000	
	Cash account			2,000
	(Cash paid for insurance premium)			
July 6	Advertisement account		7,000	
	Account payable (Creditor)			7,000
	(Advertisement bill unpaid)			
July 7	Account receivable / Debtors		40,000	
	Service revenue			40,000
	(Service revenue receivable)			
July 8	Accounts payable / Creditor		7,000	
	Bank account			7,000
	(Previous advertisement bill paid by cheque)			
July 10	Cash account		40,000	
	Account receivable / Debtors			40,000
	(Cash collection from client/debtors)			
July 12	Capital / Withdrawn account		20,000	
	Cash account			20,000
	(Cash withdrawn for owner's personal use)			

Notes:

- **Debtors** = ডেটরস (Bengali phonetics for Debtors).
- **On Account** = বাকিতে (On credit).

Tabular Summary

Accounting Basics & Principles

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2. Definitions of Accounting

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3. Users of Accounting Information

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5. Tax Authority
6. Price Fixation Authority
7. Trade Union / Labour Union / Association
8. Economic Planner
9. Researchers
10. In general public

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4. Accounting Concepts & Principles

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5. The Accounting Equation

$$A = L + E$$

- **A = Asset**
- **L = Liability**
- **E = Owner's Equity / Capital**

Effect on Capital:

- Expenditure / Loss $\rightarrow$ Capital decreases.
- Income / Profit $\rightarrow$ Capital increases.

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6. Mr. Amin's Tabular Summary (January 2024)

Transactions:

- **Jan 1:** Invested Cash Tk 200,000 and Bank Balance Tk 100,000.
- **Jan 2:** Furniture purchase for office use by Cheque Tk 20,000.
- **Jan 3:** Office rent paid in cash Tk 12,000.
- **Jan 4:** Supplies purchase for office use by cheque Tk 10,000.
- **Jan 5:** Advertisement bill received but not yet paid Tk 8,000.
- **Jan 6:** Service provided and billed to client Tk 60,000.
- **Jan 7:** Advertisement bill paid in cash (Jan 5 transaction) Tk 8,000.
- **Jan 8:** Cash received from client (Jan 6 transaction) Tk 60,000.

Tabular Summary Table

Date	Cash	Bank	Furniture	Supplies	A/R	=	A/P	Capital	Remarks
Jan 1	200,000	100,000	—	—	—	=	—	300,000	Investment
Jan 2	—	(20,000)	20,000	—	—	=	—	—	
Balance	200,000	80,000	20,000	—	—	=	—	300,000	
Jan 3	(12,000)	—	—	—	—	=	—	(12,000)	Rent Exp.
Balance	188,000	80,000	20,000	—	—	=	—	288,000	
Jan 4	—	(10,000)	—	10,000	—	=	—	—	
Balance	188,000	70,000	20,000	10,000	—	=	—	288,000	
Jan 5	—	—	—	—	—	=	8,000	(8,000)	Adv. Exp.
Balance	188,000	70,000	20,000	10,000	—	=	8,000	280,000	
Jan 6	—	—	—	—	60,000	=	—	60,000	Service Rev.
Balance	188,000	70,000	20,000	10,000	60,000	=	8,000	340,000	
Jan 7	(8,000)	—	—	—	—	=	(8,000)	—	
Balance	180,000	70,000	20,000	10,000	60,000	=	—	340,000	
Jan 8	60,000	—	—	—	(60,000)	=	—	—	
Final	**240,000**	**70,000**	**20,000**	**10,000**	**0**	**=**	**0**	**340,000**	